

The Market Gave It a Number

A strike near Hormuz became a 2.83 per cent move in crude and almost nothing else. What that precision hides.

THE READING

US forces struck Iranian rocket launchers near the Strait of Hormuz on Sunday, and Monday spent the session pricing it. WTI settled up 2.83 per cent at \$85.76, Brent up 2.71 per cent at \$90.49, above ninety dollars for the first time in this range. Energy rose 2.04 per cent and was the only S&P sector to rise; the other ten fell in a narrow band, from -0.36 to -1.35 per cent. The index closed at 7,686.14, down 0.33 per cent.

The bond market did not read a growth scare. Thirty-year yields rose 3.4 basis points and the ten-year 2.4, to 4.754 per cent, above the ceiling of Hedgeye's 4.63 to 4.74 band and the only instrument in that table outside its range. The two-year fell. The VIX closed at 14.93 and the put/call ratio below 0.75.

WHAT WISDOM WOULD SAY

Frank Knight, in *Risk, Uncertainty and Profit* (1921), separated two things that look identical from the inside. Risk is a quantity you can put a distribution around, because you have seen enough of the same event to know its shape. Uncertainty is the case where no such distribution exists, and any number attached to it is a judgement wearing the clothes of a measurement.

A military exchange at the mouth of the Gulf, through which roughly a fifth of the world's seaborne oil passes, belongs to Knight's second category. There is no sample. Yet by Monday's settle it had a number: 2.83 per cent, with the crack narrowing, since gasoline added only 0.88 per cent, which reads the event as a supply premium rather than a demand story. That is a coherent interpretation. It remains an interpretation. The habit of the market is to convert the unmeasurable into a price and then treat the price as the measurement. A VIX at 14.93 with almost no hedging behind it is what that conversion looks like once it has finished.

THE RISK IT JUSTIFIES

The distinction sorts this morning's numbers into two piles. Sizeable: the ten-year outside its range, and breadth on the floor, with the Russell 2000 at 8.0 per cent of its band and the equal-weight S&P at 7.8, against the Nasdaq at 70.3. Those have history behind them. Not sizeable: the Hormuz premium in crude, which has one observation.

That argues against adding index exposure to a day carried by a single sector, against treating the eighty-three-dollar line as support because it has held once, and against selling volatility into an open conflict priced as though it were closed. Energy exposure held this morning was made by a strike rather than by analysis, and is better sized as a windfall than defended as a thesis. What would change the answer: a second strike, or a full week without one. Either supplies the sample that Monday's price only pretended to have.

Which numbers on the screen this morning are measurements, and which are only prices?